

Canada Bread Company, Limited (Canada Bread or the Company) experienced a difficult year in 1998 and recorded unsatisfactory results, due almost entirely to reduced profitability on the sale of fresh bread products.

Factors that had the most significant impact on results included executional difficulties in implementing a national bakery structure to consolidate certain management and administrative functions of the Company's regional bakery network; disruption in product sales in Western Canada due to a slow and difficult route franchising conversion; lower margins in Eastern Canada due to a failure to respond effectively to increased competitive activity in the region; and lower profits in Multi-Marques, the Company's 25% investment in Quebec.

Positive developments in 1998 included the Company entering into an agreement with The Great Atlantic and Pacific Company of Canada, Limited (A&P) to supply bakery products to A&P and affiliated grocery stores in Ontario, beginning in February 1999, and continuing growth in frozen product lines such as bagels and par-baked breads. The Company's Calgary bagel lines are running well, and the Company is continuing to invest in new capacity in this area. The agreement with A&P will have a positive effect on the Company's Ontario bakeries, which, together with the bakeries in the West and East, had been running below efficient capacity levels. A low capacity rate in the rest of the country continues to be a significant opportunity.

The fresh bakeries use direct store delivery as the primary customer service system. As such, the success of the Company's franchised and owned distribution routes are vital to the continued well-being of the business. The Company has operated a franchised distribution system in Ontario for some time, and in 1997 began the transition to franchised routes in Western Canada. This transition, due to executional difficulties and long union negotiations, caused a significant amount of disruption and lower sales volumes in Western Canada. Management focus and training is being devoted to this region, and while results have been showing improvement, they are not back to year-ago levels yet. It is anticipated that the Western region will record improved results in 1999.

The Company has recently made changes in the business and compensation arrangements for franchisees that are expected to improve the effectiveness of these routes, and improve both the strength of the franchise operators and improve sales mix and profitability.

During 1998, the streamlining of the Company's brands into three strong national brands, supported by countrywide advertising, continued. This initiative was mostly completed during the year, and the challenge during 1999 will be to leverage these brands through innovative product development and effective consumer support.



As a part of the consolidation into a national bakery, and to meet Year 2000 requirements, a plan to install standardized accounting systems across the Company was initiated during 1996. While the installation of base computer modules was successfully completed, the installation of fresh bread distribution and billing software was not accomplished smoothly. These installations will be substantially completed by the end of March 1999, and are expected to significantly enhance the efficiency of accounting and reporting throughout the Company.

Product development during 1998 focused on increasing the penetration of products introduced during 1997. These included *Dempster's* fresh Premium Bagels and *Dempster's Flatbreads Of The World*, a complete line of flour tortillas and wraps. These product introductions are recording good growth. During 1998, a new line of premium pasta and sauces under the *Olivieri* brand were developed and early indications are promising.

While Canada Bread's principal business focus is the Canadian marketplace, selected opportunities are being pursued in the United States and Asian markets through the relationship with Maple Leaf Foods International and Maple Leaf Bakeries U.S.A. Profitably accessing these large growth markets results in improved asset utilization of existing Canadian assets, incremental profitability to the core Canadian business, and improved competitive advantage in Canadian markets through low cost manufacturing facilities and process technology.

This strategy links Canada Bread's product development and manufacturing strengths with the sales and marketing expertise of Maple Leaf Foods Inc. for product sales in targeted markets. A wide range of frozen bagel, bakery and par-bake bread products are being sold into the U.S., U.K. and Asian markets.

The Company's principal measure of financial success is RONA (Return On Net Assets). In 1998, RONA before unusual items was 6.4%, a decline from 11% in 1997, due to the weaker earnings performance.

FINANCIAL RESULTS

This financial review and analysis should be read in conjunction with the Consolidated Financial Statements and related notes included in the Annual Report to Shareholders of Canada Bread.

Sales

Sales of $508.4 million decreased by 1.3% compared to 1997 sales of $515.4 million. These sales declines are due almost entirely to lower fresh bread sales in Eastern and Western Canada, as the remaining product lines recorded improvements in sales volume.

Unusual Items

In the first quarter, the Company recorded a special charge to earnings of $14.4 million ($9.4 million after tax) relating to the costs of centralization and asset realignment. Activity during 1998 relating to this charge included closure of the Company's Winnipeg, Manitoba, Montreal, Quebec and Berwick, N.S. bakeries and severances related to the centralization of bakery operations.

Earnings from Operations

Earnings from operations before unusual items of $19.4 million compare to $36.4 million in 1997. The decrease in earnings is due entirely to reduced sales and lower margins on fresh bread sales, as margins on other products improved over last year.

Before the effect of unusual items in 1998 and the profit on the sale of Brooklyn Bagel Boys in 1997, net earnings of $12.3 million ($0.58 per share) compares to $27.1 million ($1.27 per share) in 1997.

Other Income

On January 2, 1997, the Company sold Brooklyn Bagel Boys, Inc. to Maple Leaf Foods Inc. Total proceeds of US$20.4 million (approximately Cdn$27 million) was received and resulted in a gain of $6.3 million before taxes which is included in Other Income. *Additional details of this transaction are included in Note 12 to the Consolidated Financial Statements.*

Also included in Other Income is the equity earnings share of Canada Bread's 25% investment in Multi-Marques Inc. These equity earnings decreased to $2.4 million from $4.8 million in 1997.

Interest Expense

Net interest expense increased 57% to $2.2 million in 1998 from $1.4 million in 1997 due primarily to higher borrowing levels as a result of lower operating earnings and investment in capital projects.

FINANCIAL CONDITION

Liquidity and Capital Resources

Canada Bread finances its operations primarily out of cash flow from operations. In addition, to provide it with further liquidity, the Company and its subsidiaries have aggregate lines of credit of $77 million at year-end with major Canadian banks. Of this amount, $40 million is a revolving term loan under which $26.6 million was drawn at year-end. A further $2.1 million was drawn under the remaining $37 million of operating lines. During 1998, Canada Bread established a $10 million Accounts Receivable Securitization Program to provide an alternative source of competitively priced financing. At year-end $10 million of accounts receivable had been sold under this program.

Management is of the opinion that current sources of funding provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program.

Management also believes that if further financial resources were required, the Company's balance sheet strength and cash flow from operations would provide it with access to significantly greater funding. *Additional details concerning financing are set out in Note 6 to the Consolidated Financial Statements.*

Dividends

Dividends paid in 1998 equaled $0.24 per share (1997: $0.24), resulting in a cash outflow of $5.1 million (1997: $5.1 million).

Capital Expenditures

Net additions to fixed assets decreased to $14.4 million from $51.2 million in 1997. Principal investments during the year included the installation of new computer systems, purchase and installation of a new par-bake hearth bread line and the relocation of the Venice bakery to new premises in British Columbia. In 1997, capital expenditures included construction of the Company's bagel and par-bake bread manufacturing facility in Calgary, Alberta, which was opened in the early fall of 1997.

Risk Management

The Company has financial risks to varying degrees relating to interest rates, foreign exchange and commodity pricing. The cost of flour, which represents a large component of the Company's raw material costs, is directly impacted by wheat prices and quality, which are often volatile. The Company manages its exposure to fluctuating flour prices through the use of forward purchase contracts.

Canada Bread also manages its exposure to interest rates by the use of interest rate derivative financial instruments, while foreign exchange currency contracts are used where appropriate to fix exchange rates on export sales and expenditures denominated in foreign currencies. *Information on the Company's use of derivative products during 1998 and its year end positions is set out in Note 7 to the Consolidated Financial Statements.*



The Year 2000 poses a significant risk to businesses that are reliant on computer systems that use the last two digits to represent a year. In 1996, the Company began a process of replacing almost all of its primary enterprise computing systems with new, standard platforms across its operations to improve efficiencies and facilitate the streamlining of processes. Management is confident that these systems will be in place on the expected dates.

In addition, all of the Company's manufacturing and sales operations are reliant to some degree on production systems that include process controllers and software that may be date dependent. The Company has identified and tested all critical systems and has plans in place to replace or alter all systems that have been identified as not being Year 2000 ready.

The Company has in place a formal process to monitor and report upon progress. The Company had previously set a goal of ensuring internal compliance for all systems identified as critical by March 1999. As of February 1999, this goal had been achieved for over 90% of internal critical systems. By June 1999, all other non-critical systems are expected to be internally compliant.

Since 1996, the Company has expended approximately $7.2 million on upgrading or replacing computer systems. While these expenditures have been focused towards improving the efficiency of the Company's systems, these expenditures have also had the effect of ensuring Year 2000 compliance in those areas. The Company will incur approximately $1.4 million in incremental costs to replace or alter systems to meet Year 2000 compliance.

The Company is also monitoring the compliance of its major customers, suppliers and other trading partners, and is seeking confirmation of Year 2000 readiness from those third parties where non-compliance would significantly, directly or indirectly, impact on the Company's business. Management will consider contingency plans, or seek alternative suppliers, depending on responses received. However, because the Company does not have direct control over such entities, there can be no assurance that the systems of other companies with which the Company interacts will be Year 2000 compliant or that any failure by another company in this respect would not have an adverse effect on the Company's operations.

Environment

Canada Bread is conscious of its responsibility to the environment, and operates within an overall environmental policy that has been formally approved by the Board of Directors. The Board of Directors and through independent compliance audits, monitors compliance with the policy on a regular basis. The Company's emphasis on the environment extends to the operation of its plants and the impacts of these operations on air and water quality, the handling of toxic and dangerous chemicals and the use of packaging. The Company strives to exceed required environmental compliance, and to provide a safe workplace for its employees. Resources, training and capital expenditures are directed to these areas to ensure that the Company continues to meet its responsibilities. The Company is in material compliance with existing environmental legislation. Expenditures relating to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

Related Party Transactions

Maple Leaf Foods Inc. and its subsidiary, Maple Leaf Foods USA Inc., provide certain management and other services to Canada Bread. The Company's Audit Committee reviews these arrangements on a regular basis. *See Note 13 to the Consolidated Financial Statements for further details.*